

Project Goal: Improving Our Lending Decisions

The bank needs a clear way to see how our loans are performing so we can make better, safer choices for our future. Right now, we need to move away from guesswork and use our actual data to see if our lending strategies are working or if we need to change direction.

1. Daily Tracking (The Vital Signs)

We need to know exactly how much money is moving in and out every month. This means tracking:

- How many people are applying for loans.
- The total cash we have handed out to customers.
- The total amount we have successfully collected back.
- Whether these numbers are growing or shrinking compared to last month.

2. Risk Check (Good vs. Bad Loans)

We must understand the "health" of our money by splitting loans into two groups:

- **Good Loans:** People who are paying us back on time (Fully Paid or Current).
- **Bad Loans:** People who have defaulted or are unlikely to pay (Charged Off).
- We need to see what percentage of our business falls into the "Bad" category so we can manage our risks better.

3. Understanding Our Customers

We want to see the human side of the data to spot trends. This includes:

- Why people are borrowing (e.g., debt consolidation or home repairs).
- Who is borrowing (their job stability and whether they own their home).
- Where they live to see which states have the most activity.
- How long they are taking to pay us back (36 vs. 60 months).

4. Financial Health

Lastly, we need to monitor if we are over-burdening our borrowers. By looking at their Debt-to-Income (DTI) ratios and the interest rates we charge, we can ensure our loans stay affordable for them and profitable for us.